Society-Centred and State-Centred Approaches

Week 8

Society-Centred Approach

Society-based approach

- Emphasizes the interplay between organized interests and political institutions

- Distributional consequences of exchange-rate movements
  - affects different segments of society differently
  - Political process to manage different interests to come up with the group decision . . .

- Three models
  - Electoral Model – assumes that all governments want autonomy
  - Partisan Model – assumes that all governments want autonomy
  - Sectoral Model – different sectors competes with different interests

Electoral Model

- **The need to win elections . . .** shapes domestic economic objectives

- People punish a government that delivered poor economic environment
  - **Pocketbook voters** – people vote depending on how they personally have fared under that government
  - **Sociotropic model –** people support a government that has delivered strong economic growth, low levels of unemployment, and moderate inflation.

- Politicians are likely to adopt expansionary macro-economic policies near the election ("18 months before. . .")

  - Unlikely to raise interest rates or reduce a budget deficit near election
  - Less willing to maintain fixed exchange rates

Partisan Model

- Political attitude of a party affects their preference on monetary policy targets and exchange-rate regimes
  - Conservatives (Right) and Liberals (Left)

- Political Right
  - Linked to propertied classes, financial sector, business interests
    - → focus on controlling high inflation (restrictive monetary policy)
    - → more likely to support fixed exchange rate

- Political Left
  - Linked to workers
    - → focus on controlling unemployment (expansionary monetary policy)
    - → less likely to support fixed exchange rates

Sectoral Model

- **Export-oriented** producers - Industries based on a country's comparative advantage
  - Prefers stable exchange-rate
  - Prefers weak currency

- **Import-competing** producers - Industries based on a country's comparative disadvantage
  - Prefers domestic autonomy (prefer floating exchange rates)
  - Prefers weak currency

- **Nontraded-goods** producers - all economic activities that do not enter into international trade (houses, transportation system, public utilities, retail sector, health care, auto repair, government related works. . .)
  - Prefers domestic autonomy (prefer floating exchange rates)
  - strong currency

- **Financial services industry**
  - Less clear preference regarding exchange rate stability
  - values domestic autonomy
  - Strong currency – allows them to buy foreign assets
  - Weak currency – raises domestic currency value of returns on foreign assets

Table 12.2 Sectoral Exchange-Rate Policy Preferences

		Preferred Degree of Exchange-Rate Stability	
		High	Low
Preferred Level of the Exchange Rate	High		Nontradable-goods industry *Financial services*
	Low	Export-oriented industries	Import-competing industries *Financial services*

Source: Based on Frieden 1991a, 445.

State-Centred Approach

State-centered approach

- Emphasizes the welfare-enhancing role of independent central banks
  - More than political gains

- Goals of bureaucrats
  - Central bank – (long-term) stability
  - Politicians – (short-term) growth and employment

- Monetary policy and Fiscal policy
  - Monetary policy – can be adjusted quickly
  - Fiscal policy – once a year

- However,
  - Long term relationship between inflation and unemployment is not clear
  - Government cannot reduce unemployment with monetary policy for any extended period without generating an ever-higher rate of inflation

Time-Consistency Problem

- **Credible Commitment**
  - **To end inflation without generating a sharp increase in unemployment**, each **government would have to convince** workers and businesses that it was truly determined to bring inflation down and keep it down.

- **Time-consistency problem** – the best course of action at a given time is different from the best course of action in general
  - At the wage negotiation
    - Government sets low inflation target → nominal wage negotiated at low increase
  - After the wage negotiation
    - → Expansionary policy → inflation → reducing real wage → boosting employment
    - → **Undermines credible commitment**

Time-Consistency Problem

- Under not-so credible commitment. . .
  - Workers disregard government's commitment and negotiate wages over the inflation target

    A. Government keep the inflation target → real wage rises and unemployment increases

    B. Government matches wage increase → inflation will be higher than government promise

  - Either inflation or unemployment will be higher than it would be if the government could not make a credible commitment to low inflation

Central-bank independence

- Ways to provide a credible commitment by preventing the government from using monetary policy to achieve short-term objective
  - Independent central bank
  - Fixed exchange rates

- Degree to which the central bank can set monetary policy free from interference by the government.
  - Degree to which the central bank is free to decide **what economic objectives** to pursue
  - Degree to which the central bank is free to decide **how to set monetary policy** in pursuit of this objective
  - Degree to which central-bank decisions can be **reversed by other branches** of government

- Monetary policy is not affected by short-run political considerations such as temporary increase in employment
  - but more directed to **price stability**

- But is this democratic?

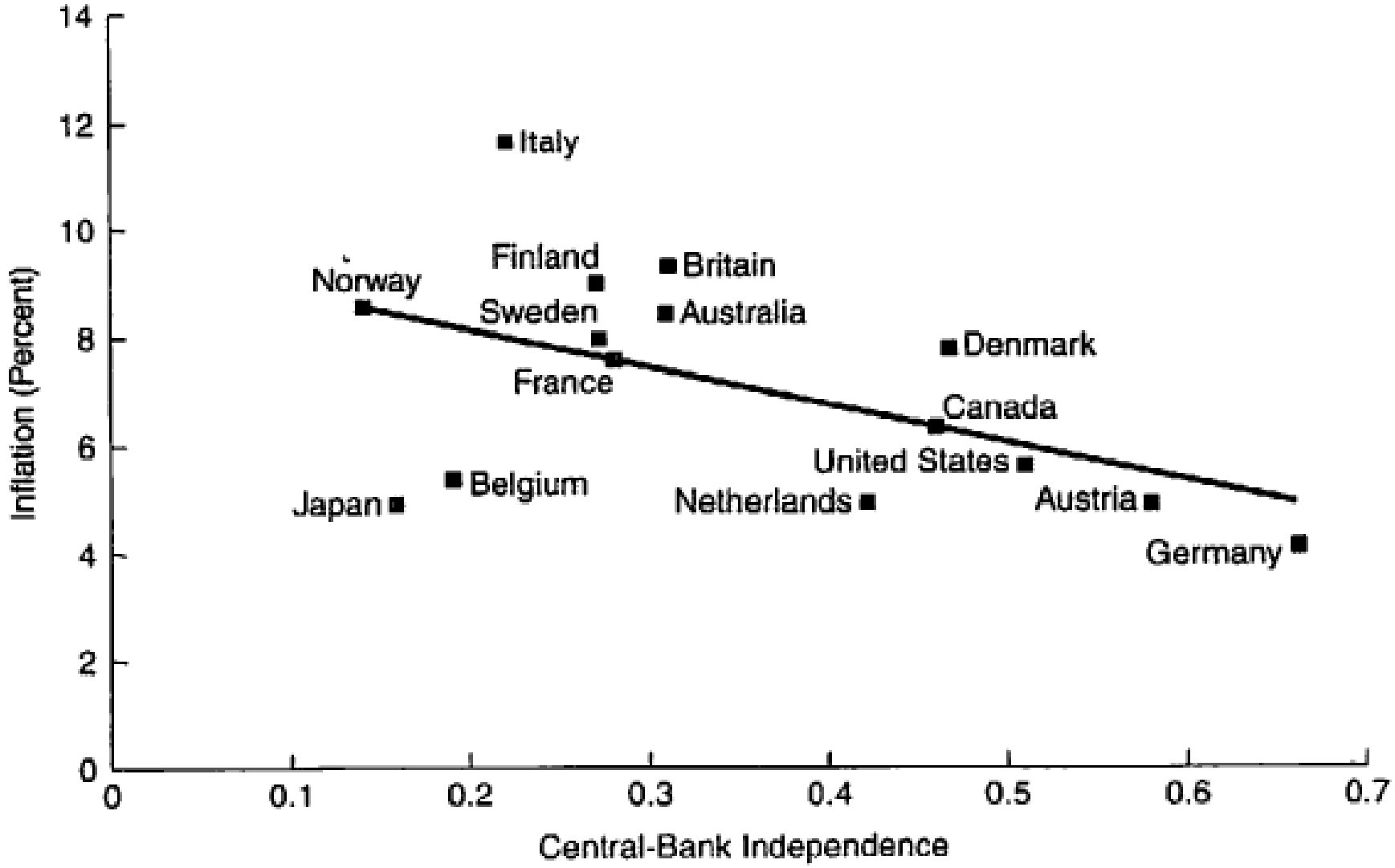

Figure 13.5 Central-Bank Independence and Inflation, 1969–1995.
Source: OECD 1995 and Cukierman 1992.
Higher index values indicate greater independence.